Pace Pool and Spa Service Inc

VALUATION & RISK INSIGHTS REPORT

Discovering the fair market value of Controlling, Non-Marketable Ownership of All Assets of **Pace Pool and Spa Service Inc**

Report date: May 14, 2025

Valuation date: March 31, 2025

PREPARED BY Value Buddy

EXECUTIVE SUMMARY

Prepared for
Laura Tran-Perry
Underwriter
First Internet Bank of Indiana
8701 E 116th Street
Fishers, IN 46038

U.S. Small Business Administration
409 3rd St, SW
Washington, DC 20416

Subject interest: Valuation of All Assets of Pace Pool and Spa Service Inc

Dear First Internet Bank of Indiana and U.S. Small Business Administration,

Upon your request, we have conducted a valuation engagement, as defined by the Professional Standards of the National Association of Certified Valuators and Analysts (NACVA), for a purchase of all assets of Pace Pool and Spa Service Inc (herein referred to as "Pace Pool and Spa" or the "Company") as of March 31, 2025. This valuation is based on a controlling, non-marketable basis.

The purpose of this report is to determine the fair market value of all assets of the Company for SBA 7a lending analysis and determination of fair market value. The use of this report is restricted to First Internet Bank of Indiana and the U.S. SBA. Value Buddy has no duty or obligations to any other party. Therefore, unauthorized possession, use, or modification of this report by any other parties is strictly prohibited.

We conducted our analysis with restrictions and limitations on the scope of our work based on available data. Based on our assessment detailed in this summary report, the estimated rounded fair market value of all assets of Pace Pool and Spa as of March 31, 2025, on a controlling, non-marketable basis, is **$3,600,000**.

EXECUTIVE SUMMARY

Fair Market Value Allocation (100% subject interest)

Fair Market Value	**$ 3,600,000**
Adj. Book Value of Liabilities Assumed	$ -
Enterprise Value	**$ 3,600,000**
Fixed Tangible Assets	$ 15,708
Other Tangible Assets	$ 100,000
Tangible Assets Assumed	**$ 115,708**
Goodwill	**$ 3,484,292**

Key Metrics (all assets of Pace Pool and Spa)

$3,600,000
Concluded value

Asset purchase
Purchase type

$15,708
Fixed assets

$100,000
Other tangible assets

$3,484,292
Goodwill

$684,262
Free cash flow

Other tangible assets consists of $100,000 of Inventory which has been included on the adjusted balance sheet to match the purchase price allocation.

TABLE OF CONTENTS

Executive Summary	02
Table of Contents	04
Introduction	05
Appraiser Overview	06
Company Overview	07
Income Statement	10
Balance Sheet	14
Goodwill	16
Historical Trends	17
Financial Ratios	18
Industry Outlook	20
Macro Implications	22
Valuation Overview	26
Asset Approach Valuation	27
Income Approach Valuation	28
Discount Rate	30
Assumptions	33
Market Approach Introduction	35
Comparable Set	36
Market Approach Valuation	39
Asset Adjustments	41
Other Adjustments	42
Valuation Methodology Weightings	44
Conclusion of Value	45
Risk Review: KPI Benchmarking	47
Risk Review: Lending Risk Summary	48
Risk Review: Risk Assessment	49
Appendix: Cash Flow Projections	55
Appendix: Disclaimer	56

INTRODUCTION

Standard of Value

For income tax purposes, the appropriate standard of value is fair market value ("FMV"), which is defined by IRS Ruling 59-60 as: *"the price, expressed in terms of cash equivalents, at which property would change hands between a hypothetical willing and able buyer and a hypothetical willing and able seller, acting at arm's length in an open and unrestricted market, when neither is under compulsion to buy or sell and when both have reasonable knowledge of the relevant facts."*

Premise of Value

The premise of value, such as going concern, determines the transaction circumstances. The Company is valued as an ongoing business.

Engagement Scope

In the course of conducting the valuation for the Company, if applicable, we took into account distinctions between the Company's preferred and common shares. This analysis encompassed factors such as liquidation preferences and conversion rights. Additionally, we carefully considered necessary adjustments to account for the lack of marketability associated with the Subject Interest. No site visits were conducted to inform the analysis of this appraisal.

Sources of information

- 2022-2024 Federal Tax Returns
- Interim income statement and balance sheet as of March 31, 2025
- Client's Credit Approval Document
- Asset Purchase Agreement
- BVR DealStats and Economic Outlook Update
- 2024 IFA Franchising Economic Outlook

APPRAISER OVERVIEW



Prepared by

TIM GBUR, CVA

As the Director of Valuations at Value Buddy, Inc., Tim Gbur leverages a wealth of experience in the field of financial analysis and business valuations. Tim has specialized in SBA business valuations for nearly a decade and is recognized for his in-depth knowledge and insights in the small business valuation field.

Professional Overview:

- Value Buddy - Director of Valuations, leads Value Buddy's practice dedicated to preparing detailed business valuations for SBA lending
- Withum - Senior Associate, trusted expert in matters of SBA, gift tax, and estate planning business valuations
- Reliant Business Valuation - Senior Analyst, prepared hundreds of business valuations for the largest SBA lenders

Report prepared by	*Tim Gbur*
On behalf of	Value Buddy
Qualification	Certified Valuation Analyst (CVA)

PACE POOL AND SPA

Company Background

Pace Pool and Spa is registered as a S-corp. Pace Pool and Spa Service Inc, incorporated in 2000, has been in operation for 25 years. Specializing in pool maintenance, repairs, liner installations, and retail sales of chemicals, tools, and accessories, Pace Pool and Spa offers a range of services to a diverse clientele of residential and commercial customers. With annual revenue streams from retail sales, maintenance services, and repair services, the company has established itself as a reputable and fully-licensed pool and spa service provider.

Services / Product Offerings:

Pace Pool and Spa Service Inc., established in 1999, is a fully-licensed and insured pool and spa repair business offering a range of services. Their retail sales division provides chemicals, tools, accessories, and water testing services, contributing $1,087,546 in annual revenue. Maintenance services include weekly pool cleaning, chemical adjustments, and routine inspections, generating $520,024 annually. The company's repair services encompass equipment troubleshooting, parts replacement, and repairs, bringing in $563,602 annually. Additionally, Pace Pool and Spa Service specializes in pool liner replacements and safety cover installations, accounting for $552,999 in annual revenue. Their comprehensive offerings cater to pool owners seeking maintenance, repairs, and retail products.

PACE POOL AND SPA

Clientele

Pace Pool and Spa Service Inc. serves a diverse clientele base encompassing both residential and commercial customers. The company's top 5 customers contribute to less than 30% of total revenues, with no single customer accounting for more than 10% of the company's revenue. This indicates a well-diversified customer portfolio.

The geographical distribution of Pace Pool and Spa Service Inc.'s clientele aligns with its operational region, reflecting a broad market presence. The company's revenue model is structured to prevent heavy reliance on specific customers or market segments, reducing the risks associated with overdependence on particular clients or regions. This approach enhances the business's stability and resilience to market fluctuations.

In summary, Pace Pool and Spa Service Inc. maintains a balanced and diversified customer base, catering to a mix of residential and commercial clients in a rapidly expanding area.

PACE POOL AND SPA

Current Ownership and Acquisition Stake

The acquisition involves purchasing 100% of the assets of Pace Pool and Spa Service Inc. The Company is currently owned 50% by Dennis Cobb and 50% by Rodney Jernigan. This transaction represents a full buyout of the business, with the acquirer gaining complete ownership and control over all assets and operations of the company.

Geographic Analysis

The company is located in Milton, Florida, a city in Santa Rosa County known for its rich history and strategic location in the Florida Panhandle. With a population of approximately 10,000 residents, Milton offers a small-town atmosphere while being part of the larger Pensacola Metropolitan Area, which has a population of over 500,000. The city benefits from its proximity to major transportation routes, including Interstate 10, providing easy access to regional markets. Milton's economy is supported by a mix of industries, including manufacturing, healthcare, and retail, with a growing emphasis on tourism due to its scenic natural surroundings and historic sites. The demographic profile of Milton is diverse, with a median age of around 35 years, indicating a balanced mix of young professionals and families. The area's relatively low cost of living and favorable business climate make it an attractive location for business operations. Additionally, Milton's commitment to community development and infrastructure improvements positions it as a promising area for future growth and investment.

INCOME STATEMENT

Pace Pool and Spa 2025 Interim Income Statement

	Interim Financials	Annualized
Net Sales	**$657,492**	**$2,666,494**
Gross Profit	$437,904	$1,775,945
Net Income	**$195,804**	**$794,096**
EBIT	$195,804	$794,096
EBITDA	**$197,094**	**$799,328**

Interim period: January 1, 2025 - March 31, 2025

Annualized interim: interim financials are created by dividing each interim financial metric by the portion of the year represented by the interim period *(e.g., if interim financials are as of 7/1/2025, this would represent 50% of the year, so interim financials would be annualized by dividing each financial metric by 0.5). Calculations are based on number of days in the year (365 for 2025) and number of days in the interim period.*

The interim period of January 1, 2025 - March 31, 2025 represents 25% of 2025, so the interim financials must be divided by 25% to arrive at the annualized interim financials.

2025 Projected Income Statement (following page): As the Company's revenue experiences seasonality with an increase during warmer months, rather than using the annualized interim figures, we used the projected full year revenue provided in the client's credit memo and applied an average of 2022-2024 full-year expense margins to reflect a projected annual income statement.

INCOME STATEMENT

Pace Pool and Spa 2022-2025 Income Statements

	2022	2023	2024	2025 Projection
Gross Sales	**$ 2,805,765**	**$ 2,755,115**	**$ 3,090,417**	**$ 3,465,484**
Returns and Allowances	$ 486	$ 389	$ 324	$ 484
Net Sales	**$ 2,805,279**	**$ 2,754,726**	**$ 3,090,093**	**$ 3,465,000**
Cost of Goods Sold	$ 1,169,596	$ 1,137,512	$ 1,260,608	$ 1,429,670
Gross Profit	**$ 1,635,683**	**$ 1,617,214**	**$ 1,829,485**	**$ 2,035,330**
Other Income	$ 360	$ 15,792	$ 810	$ 7,072
Total Income	**$ 1,636,043**	**$ 1,633,006**	**$ 1,830,295**	**$ 2,042,402**
Officer Comp.	$ 169,918	$ 200,947	$ 212,902	$ 233,790
Salary and Wage	$ 507,767	$ 537,528	$ 582,502	$ 652,159
Repairs and Maintenance	$ 646	$ 48	$ 1,536	$ 860
Bad Debt	$ -	$ -	$ -	$ -
*Rent**	$ 28,614	$ 47,087	$ 53,267	$ 51,434
Taxes and Licenses	$ 51,554	$ 57,231	$ 60,029	$ 67,659
Interest	$ -	$ 100	$ 131	$ 91
D&A	$ 8,714	$ 20,684	$ 23,528	$ 21,054
Advertising	$ 2,081	$ 1,070	$ 6,522	$ 3,743
Pension, Profit-Sharing, etc.	$ -	$ -	$ -	$ -
Employee Benefits	$ 16,054	$ 14,906	$ 11,178	$ 17,038
Other Premises and Property	$ -	$ -	$ -	$ -
Other Operating	$ 114,813	$ 134,537	$ 122,551	$ 149,486
Total Expenses	**$ 900,161**	**$ 1,014,138**	**$ 1,074,146**	**$ 1,197,314**
Net Income	**$ 735,882**	**$ 618,868**	**$ 756,149**	**$ 845,088**
Interest Add-Back	$ -	$ 100	$ 131	$ 91
Income Tax Add-Back	$ -	$ -	$ -	$ -
EBIT	**$ 735,882**	**$ 618,968**	**$ 756,280**	**$ 845,179**
*D&A Add-Back**	$ 8,714	$ 20,684	$ 23,528	$ 21,054
EBITDA	**$ 744,596**	**$ 639,652**	**$ 779,808**	**$ 866,234**

ADJUSTED INCOME STMT.

Pace Pool and Spa Adjusted Income Statement

	2022	2023	2024	2025 Projection
Net Sales	**$ 2,805,279**	**$ 2,754,726**	**$ 3,090,093**	**$ 3,465,000**
Gross Profit	$ 1,635,683	$ 1,617,214	$ 1,829,485	$ 2,035,330
One-time Revenue Adj.	$ -	$ -	$ -	$ -
Adjusted Net Sales	**$ 2,805,279**	**$ 2,754,726**	**$ 3,090,093**	**$ 3,465,000**
Adjusted Gross Profit	**$ 1,635,683**	**$ 1,617,214**	**$ 1,829,485**	**$ 2,035,330**
Net Income	**$ 735,882**	**$ 618,868**	**$ 756,149**	**$ 845,088**
EBIT	**$ 735,882**	**$ 618,968**	**$ 756,280**	**$ 845,179**
EBITDA	**$ 744,596**	**$ 639,652**	**$ 779,808**	**$ 866,234**
One-time Expense Adj.	$ -	$ -	$ -	$ -
Rent Adj.	$ -	$ -	$ -	$ -
Owner's Comp. Add-Back	$ 182,917	$ 216,319	$ 229,189	$ 251,675
Discretionary Expenses Add-Back	$ -	$ -	$ -	$ -
SDE	**$ 927,513**	**$ 855,971**	**$ 1,008,997**	**$ 1,117,908**
Replacement Owner's Comp.	$ (52,749)	$ (52,749)	$ (52,749)	$ (52,749)
Discretionary Expenses Deduction	$ -	$ -	$ -	$ -
Adjusted Net Income	**$ 866,050**	**$ 782,439**	**$ 932,590**	**$ 1,044,015**
Adjusted EBIT	**$ 866,050**	**$ 782,539**	**$ 932,721**	**$ 1,044,105**
Adjusted EBITDA	**$ 874,764**	**$ 803,223**	**$ 956,249**	**$ 1,065,160**
Weighting	**25%**	**25%**	**25%**	**25%**

See pg. 43 for a detailed description of adjustments made to financials

WEIGHTED INCOME STMT.

Pace Pool and Spa Weighted, Adjusted Income Statement (Base Year)

	Weighted Financials
Weighted, Adjusted Net Sales	$3,028,775
Weighted, Adjusted Gross Profit	$1,779,428
Weighted, Adjusted Net Income	$906,273
Weighted, Adjusted EBIT	$906,354
Weighted, Adjusted EBITDA	$924,849
Weighted, Adjusted SDE	$977,597

BALANCE SHEET

Pace Pool and Spa Historical and Interim Balance Sheets

	2022	2023	2024	Interim
Cash and Cash Equivalents	$ 1,974,696	$ 1,987,972	$ 2,163,864	$ 2,332,510
Accounts Receivable, net	$ -	$ -	$ -	$ -
Inventories	$ 58,062	$ 67,104	$ 60,869	$ 60,869
Other Current Assets	$ -	$ -	$ -	$ -
Total Current Assets	**$ 2,032,758**	**$ 2,055,076**	**$ 2,224,733**	**$ 2,393,379**
Buildings and Other Depreciable Assets, net	$ 3,521	$ 7,321	$ 15,916	$ 15,708
Land, net	$ -	$ -	$ -	$ -
Intangible Assets, net	$ -	$ -	$ -	$ -
Non-Operating Receivables	$ -	$ -	$ -	$ -
Other Non-Current Assets	$ 1,200	$ 1,200	$ 1,200	$ 1,200
Total Assets	**$ 2,037,479**	**$ 2,063,597**	**$ 2,241,849**	**$ 2,410,287**
Accounts Payable	$ -	$ -	$ -	$ 15,538
Current Portion of Long-Term Debt	$ -	$ -	$ -	$ -
Other Current Liabilities	$ 8,897	$ 7,646	$ 4,904	$ -
Total Current Liabilities	**$ 8,897**	**$ 7,646**	**$ 4,904**	**$ 15,538**
Long-Term Debt	$ -	$ -	$ -	$ -
Other Non-Current Liabilities	$ -	$ -	$ -	$ -
Total Liabilities (L)	**$ 8,897**	**$ 7,646**	**$ 4,904**	**$ 15,538**
Total Shareholders' Equity (SE)	**$ 2,028,582**	**$ 2,055,951**	**$ 2,236,945**	**$ 2,394,750**
Total Liabilities and Shareholders' Equity (L & SE)	**$ 2,037,479**	**$ 2,063,597**	**$ 2,241,849**	**$ 2,410,287**

ADJUSTED BALANCE SHEET

Pace Pool and Spa Adjusted Balance Sheet

	Interim Book Value	Included in Value	Adjustment Factor	Adjustments	Adjusted Book Value
Cash and Cash Equivalents	$ 2,332,510	No	100%	$ (2,332,510)	$ -
Accounts Receivable, net	$ -	No	100%	$ -	$ -
Inventories	$ 60,869	Yes	0%	$ 39,131	$ 100,000
Other Current Assets	$ -	No	100%	$ -	$ -
Total Current Assets	**$ 2,393,379**	**-**	**-**	**$ (2,293,379)**	**$ 100,000**
Build. and Other Deprec. Assets, net	$ 15,708	Yes	0%	$ -	$ 15,708
Land, net	$ -	No	0%	$ -	$ -
Intangible Assets, net	$ -	No	0%	$ -	$ -
Non-Operating Receivables	$ -	No	0%	$ -	$ -
Other Non-Current Assets	$ 1,200	No	0%	$ (1,200)	$ -
Total Assets	**$ 2,410,287**	**-**	**-**	**$ (2,294,579)**	**$ 115,708**
Accounts Payable	$ 15,538	No	0%	$ (15,538)	$ -
Current Portion of Long-Term Debt	$ -	No	0%	$ -	$ -
Other Current Liabilities	$ -	No	100%	$ -	$ -
Total Current Liabilities	**$ 15,538**	**-**	**-**	**$ (15,538)**	**$ -**
Long-Term Debt	$ -	No	0%	$ -	$ -
Other Non-Current Liabilities	$ -	No	0%	$ -	$ -
Total Liabilities (L)	**$ 15,538**	**-**	**-**	**$ (15,538)**	**$ -**
Total Shareholders' Equity (SE)	**$ 2,394,750**	**-**	**-**	**$ (2,279,041)**	**$ 115,708**
Total L & SE	**$ 2,410,287**	**-**	**-**	**$ (2,294,579)**	**$ 115,708**

VALUE ALLOCATION

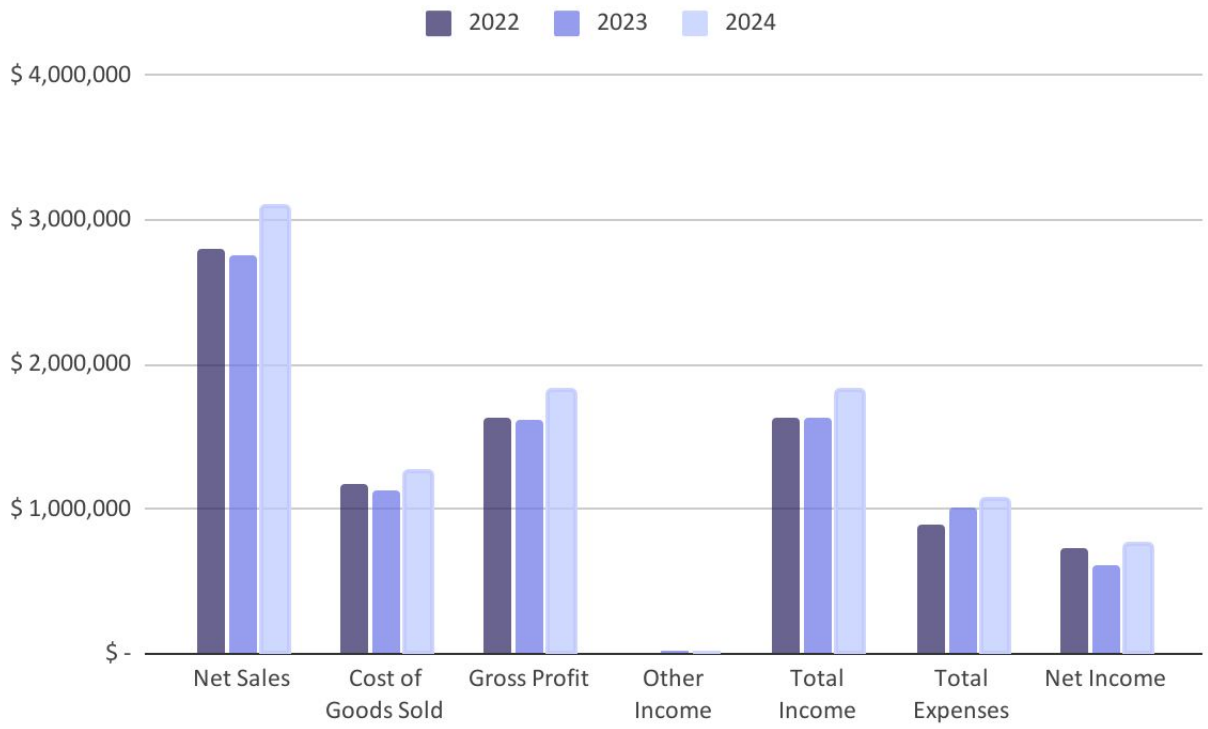
Fair Market Value Allocation (100% interest)

Fair Market Value	**$ 3,600,000**
Adj. Book Value of Liabilities Assumed	$ -
Enterprise Value	**$ 3,600,000**
Fixed Tangible Assets	$ 15,708
Other Tangible Assets	$ 100,000
Tangible Assets Assumed	**$ 115,708**
Goodwill	**$ 3,484,292**

HISTORICAL TRENDS

Pace Pool and Spa Past 3 Years' Percent Changes

	2022	2023	2024
Net Sales	**$ 2,805,279**	**$ 2,754,726**	**$ 3,090,093**
Percent Change	N/A	-1.8%	12.2%
Cost of Goods Sold	**$ 1,169,596**	**$ 1,137,512**	**$ 1,260,608**
Percent Change	N/A	-2.7%	10.8%
Gross Profit	**$ 1,635,683**	**$ 1,617,214**	**$ 1,829,485**
Percent Change	N/A	-1.1%	13.1%
Other Income	**$ 360**	**$ 15,792**	**$ 810**
Percent Change	N/A	4286.7%	-94.9%
Total Income (Gross Profit + Other Income)	**$ 1,636,043**	**$ 1,633,006**	**$ 1,830,295**
Percent Change	N/A	-0.2%	12.1%
Total Expenses	**$ 900,161**	**$ 1,014,138**	**$ 1,074,146**
Percent Change	N/A	12.7%	5.9%
Net Income	**$ 735,882**	**$ 618,868**	**$ 756,149**
Percent Change	N/A	-15.9%	22.2%



FINANCIAL RATIOS

Liquidity and Leverage Ratio Analysis

Liquidity Ratios		
Current Ratio	154.04	Current assets divided by current liabilities: indicates the Company's ability to pay current liabilities. A current ratio less than 1 is a cause for concern.
Quick Ratio	150.12	Liquid assets divided by current liabilities: indicates the Company's ability to meet immediate needs. Liquid assets include cash, cash equivalents, and accounts receivable. Inventory and other assets that are not easily liquidated are excluded.
Leverage Ratios		
Debt/Assets	-	Total debt divided by total assets: indicates the Company's ability to pay its debts, otherwise known as long-run solvency.
Debt/Equity	-	Total debt divided by total equity: indicates the Company's relative capital provided by creditors and shareholders. A high debt/equity ratio suggests high financial leverage, which in turn means high financial risk.
Interest Coverage Ratio	11262.81	EBIT divided by interest expense: indicates the Company's ability to cover interest payments. A high coverage ratio suggests that the Company is better prepared to pay its interest. Also called "Times Interest Earned".

FINANCIAL RATIOS

Activity and Profitability Ratio Analysis

Activity Ratios		
Accounts Receivable Turnover	-	Net sales divided by accounts receivable: indicates the quality of the Company's receivables and its ability to collect outstanding receivables. A high accounts receivable turnover suggests quicker collection.
Inventory Turnover	20.53	COGS divided by inventory: measures how quickly the Company's inventory is sold. A high inventory turnover suggest better firm performance.
Asset Turnover	1.26	Net sales divided by total assets: indicates the efficiency at which the Company is utilizing its assets. A high asset turnover suggests the Company is using its assets effectively to generate revenue.
Working Capital Turnover	1.27	Net sales divided by working capital: indicates the efficiency at which the Company is utilizing its working capital. A working capital turnover suggests the Company is using its working capital effectively to generate revenue. however, a working capital turnover that is too high suggests creditor risk. Working capital is the difference between current assets and current liabilities.
Profitability Ratios		
Profit Margin	29.92%	Net income divided by net sales: indicates the degree to which the Company's sales contribute to its profitability. In other words, profit margin indicates how much net income is generated per dollar of sales.
Return on Equity	37.84%	Net income divided by total equity: measures earnings on owners' equity in the Company. A higher ROE suggests increased shareholder wealth resulting from the Company.
Return on Assets	37.60%	Net income divided by total assets: indicates how efficiently the Company is utilizing its assets to generate profits. A high ROA suggests the Company is more efficient and profitable as a result of using its assets.

INDUSTRY OUTLOOK

Swimming pool services (Services) industry outlook

Source: BVR EOU Q4 2024

The U.S. swimming pool cleaning services industry is currently experiencing a period of significant growth within the broader services sector. This growth is underscored by the Institute for Supply Management's Services PMI index consistently showing expansion, with the latest reading at a robust 54.1%. Moreover, key indicators like the Business Activity Index at 58.2% and the New Orders Index at 54.2% point towards a strong demand environment that bodes well for companies such as Pace Pool and Spa Service Inc.

As employment in the services industry continues to trend upwards, with the Employment Index standing at 51.4%, there is a clear indication of sustained job growth. This is particularly advantageous for Pace Pool and Spa Service Inc. as a larger workforce can effectively meet the rising service demands. Although the Supplier Deliveries Index has increased to 52.5%, suggesting slower delivery times, the fact that 42.0% of respondents are seeing a gradual return to pre-pandemic supply chain conditions offers hope for enhanced logistics efficiency in the near future.

Given the positive growth trajectory and favorable demand environment in the industry, investors seeking to leverage the expanding services sector and the stable employment dynamics within it may find strategic value in acquiring Pace Pool and Spa Service Inc.

INDUSTRY OUTLOOK

Swimming pool services (Services) industry outlook

Industry Outlook Report for Pace Pool and Spa Service Inc.

Pricing and Revenue Expectations:
In the current landscape, the costs for service organizations have been steadily increasing, showing a significant 64.4% surge over the past 91 months. Despite this upward trend in operational costs, a notable 58.0% of respondents have been able to successfully pass these costs onto customers, thereby maintaining healthy profit margins. Looking ahead to 2025, a promising 3.9% net revenue increase is anticipated, with a substantial 59.0% of businesses expecting to generate higher revenues compared to the previous year. This optimistic forecast bodes well for the financial performance of swimming pool service companies, prompting a strategic shift towards innovative pricing models and the introduction of value-added services to stay competitive in the market.

Investment and Capacity Utilization:
The services sector is poised for growth, with a projected 5.1% increase in capital investment expected in 2025, indicating a growing confidence in the sector's potential. For Pace Pool and Spa Service Inc., this uptick in investment presents an opportunity to enhance service capabilities and bolster competitive advantages, ultimately leading to improved customer satisfaction and retention rates. Currently, companies are operating at 87.4% of their normal capacity, with a notable 37.0% eyeing capacity expansions in the coming year. This trend signals a potential wave of growth and expansion in service offerings within the industry, providing avenues for companies to differentiate themselves and capture a larger market share.

MACRO IMPLICATIONS

Macroeconomic Analysis and Implications for the Company

Source: BVR EOU Q4 2024

Pace Pool and Spa Service Inc. operates in the U.S. swimming pool cleaning services industry, catering to a diverse clientele of residential and commercial customers. The macroeconomic environment plays a significant role in shaping the company's prospects. GDP growth is anticipated to moderate, with projections of 2.7% in 2024 and 2.0% in 2025, indicating a stable economic backdrop that could support consumer spending. This is crucial for Pace Pool and Spa Service Inc. as it directly impacts the demand for discretionary services like pool maintenance and retail sales.

Consumer spending is forecasted to increase by 2.6% in 2024 and 2.3% in 2025, which bodes well for the company's revenue streams. Additionally, industrial production is expected to experience a slight decline in 2024 followed by a rebound in 2025, hinting at a potential recovery in manufacturing activities that could benefit the company's supply chain for pool-related products.

On the labor front, the cooling labor market is projected to see a rise in unemployment rates to an average of 4.1% in 2024 and 4.3% in 2025. This trend may lead to a more competitive hiring environment for Pace Pool and Spa Service Inc., potentially impacting labor costs. However, real disposable income is expected to grow by 2.9% in 2024 and 2.2% in 2025, supporting consumer spending on non-essential services like maintenance and repair services, which are key revenue drivers for the company.

MACRO IMPLICATIONS

Macroeconomic Analysis and Implications for the Company

Pace Pool and Spa Service Inc., operating in the U.S. swimming pool cleaning services industry, faces a macroeconomic environment characterized by shifting inflation and interest rates. Consensus Economics Inc. forecasts a decrease in the Consumer Price Index (CPI) from 2.9% in 2024 to 2.4% in 2025, potentially stabilizing input costs for Pace Pool and Spa Service Inc., particularly in retail sales. The projected modest increase in the Producer Price Index (PPI) by 1.1% in 2024 and 1.3% in 2025 indicates stable input costs for the company's operations.

Moreover, the expected decrease in interest rates, with 10-year Treasury yields falling from 4.2% to 4.0% by year-end 2025, may lower borrowing costs for business expansion or capital investments for Pace Pool and Spa Service Inc. This could present opportunities for strategic acquisitions or investments to enhance the company's market position.

In terms of corporate profitability and business investment, Consensus Economics Inc. anticipates corporate profits to grow by 6.9% in 2024, moderating to 2.7% in 2025. This stable business environment could support the valuation of small businesses like Pace Pool and Spa Service Inc. However, the slowing growth in 2025 may limit the expansion of valuation multiples for the company. The expected rise in commercial real estate transactions in 2025 and 2026 suggests improving business investment conditions, potentially benefiting Pace Pool and Spa Service Inc.'s commercial clientele.

MACRO IMPLICATIONS

Macroeconomic Analysis and Implications for the Company

Pace Pool and Spa Service Inc. operates in the U.S. swimming pool cleaning services industry, catering to a diverse clientele of residential and commercial customers. The macroeconomic environment presents a mixed outlook for the company. The real estate market is showing signs of recovery, with housing starts projected to increase slightly to 1.38 million in 2025. This trend could positively impact Pace Pool and Spa Service Inc.'s liner installation and safety cover services, as new housing construction often leads to increased demand for pool-related services.

However, office vacancy rates are expected to rise to 19.8% in 2025, indicating continued weakness in office property valuations. This may affect the company's commercial customer base, potentially impacting its revenue from maintenance services and equipment repairs for commercial pools. Rent growth is expected across industrial, apartment, and retail sectors, while office rents remain flat. This sector-specific resilience highlights potential shifts in the company's strategic focus towards sectors experiencing growth in rent prices.

Considering an acquisition of Pace Pool and Spa Service Inc., potential investors should closely monitor the trends in the real estate market, particularly housing starts and office vacancy rates. Understanding these macroeconomic indicators can provide insights into the company's revenue streams and customer base, helping investors assess the potential risks and opportunities associated with acquiring Pace Pool and Spa Service Inc.

VALUATION

VALUATION OVERVIEW

Conclusion of value (summary)

Based on our comprehensive assessment of the available information and detailed analysis, and with due regard to the enclosed Statement of Assumptions and Limiting Conditions, our professional judgment is that the fair value and fair market value of all assets of Pace Pool and Spa, considering it as a non-marketable interest, as of March 31, 2025, is:

> Fair market value (rounded): $3,600,000

It is essential to emphasize that Value Buddy, Inc. charges a fee for this valuation service, which is entirely independent of the outcomes presented in this valuation report. Furthermore, we would like to underline that this valuation is governed by the terms and conditions outlined in Value Buddy's terms and conditions listed on its website.

Valuation methodology summary

Methodology	Rounded value	Weighting
Income (DCF) approach	$3,681,000	50%
Market (multiples) approach	$3,519,000	50%
Concluded value of all assets of Pace Pool and Spa	**$3,600,000**	**100%**

ASSET APPROACH

Asset Approach - Adjusted Book Value Method

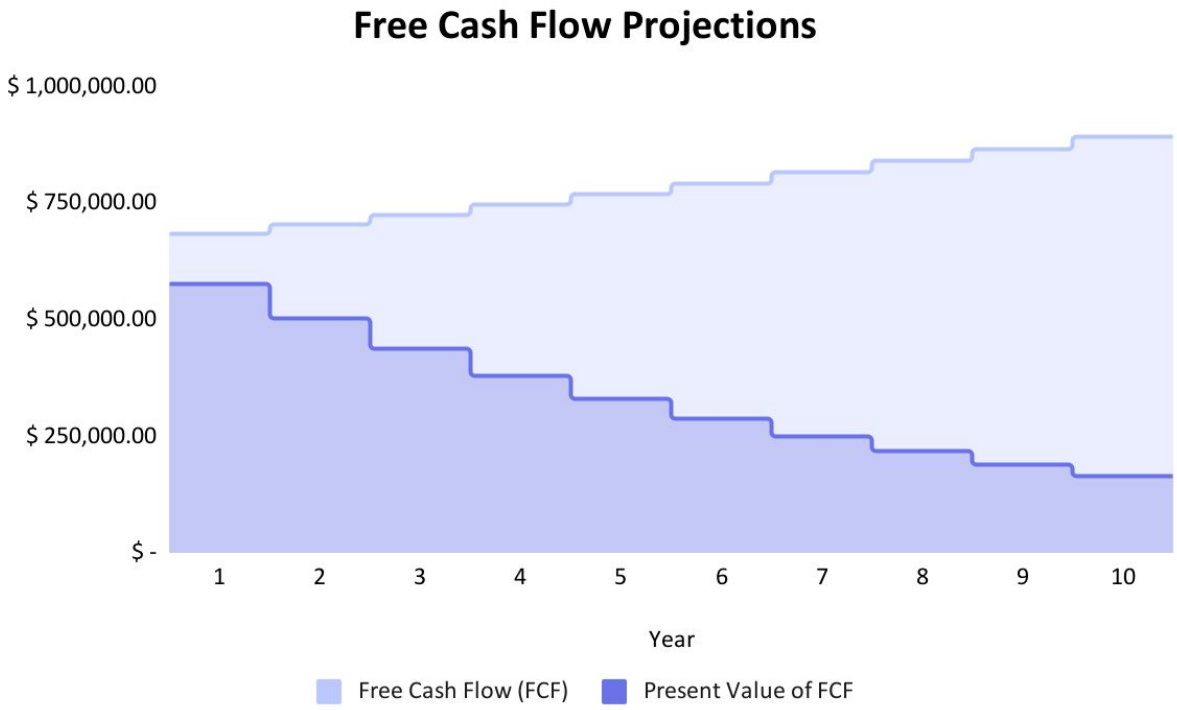
The determination of a business's book value involves adjusting the recorded value of its assets and liabilities to their estimated fair market value at the time of assessment. See Exhibit 1 for more information regarding the Adjusted Balance Sheet. Adjustments made to the Company's assets include:

- Removing non-operating receivables from related entities/parties
- Removing intangible value and accumulated amortization as aggregate intangible value or goodwill will be determined in the overall course of this valuation
- Removed any other miscellaneous assets excluded from the Purchase Agreement

Unadjusted assets	**$ 2,410,287**
Non-operating receivables	$ -
Intangible assets and accumulated amortization	$ -
Miscellaneous excluded / adjusted assets	$ (2,294,579)
Included liabilities	**$ -**
Subtotal	**$ 115,708**
Less illiquidity discount	0.00%
Indicated total enterprise value	**$ 115,708**
Selected value (rounded)	**$ 116,000**

In our view, the adjusted book value method would only serve to establish a minimum value for the business, most likely in a scenario of liquidation. Given that the business was a going concern at the valuation date, is projected to generate cash flows, and was unlikely to be liquidated in the foreseeable future, **we opted not to utilize the adjusted book value method and the asset approach**.

INCOME APPROACH



Present Value of FCFs	+	Terminal Value	–	Illiquidity Discount	–	Asset Adjustments	=	DCF Valuation
$3,342,028		$849,162		$419,119		$90,682		$3,681,000

INCOME APPROACH

$3,681,000

SUMMARY

The income approach values the business based on its ability to generate future cash flows. Future cash flows are discounted back to the present value. This reflects all assets of Pace Pool and Spa.

INCOME APPROACH

Base year free cash flow calculation

A Discounted Cash Flow (DCF) model is used to calculate the intrinsic value of the company. The DCF models projects 10 years of cash flows and an exit value assuming the business is sold after year 10 and discounts each year's cash flows to the present value using a discount rate.

EBIT	**$ 933,544**
Income Tax Rate	27%
Less: Income Taxes	$ (252,057)
Net Operating Profit After Tax	**$ 681,487**
Plus: Depreciation and Amortization	$ 18,495
NWC as a % of Sales	6.30%
YoY Net Sales Growth (Base Year vs. 2025F)	$90,863
Less: Estimated Change in NWC	$ (5,720)
Less: Capital Expenditures	$ (10,000)
Free Cash Flow to the Firm	**$ 684,262**

Assumptions

- Income tax rate (27%) is based on the national average in the KPMG Corporate Tax Rate Survey which includes federal, state, and local income taxes
- Estimated annual capital expenditures estimated based on avg. D&A over the past 3 yrs. and industry benchmarks which assume fixed assets must be maintained / replaced at the rate they are depreciated
- Base year EBIT starts with the weighted EBIT and is grown for 1 year at the short-term growth rate

See pg. 54 for a detailed breakdown of the the projected cash flows and present value of cash flows

DISCOUNT RATE

Introduction to discount rates

The discount rate applied to convert future cash flows into their present value represents the rate of return an investor expects for assuming the perceived risks associated with the investment. The cash flows in this analysis exclude interest expenses and changes in debt principal, reflecting the amount available to both equity and debt holders. Therefore, the discount rate used to calculate the present value of these cash flows is the weighted average cost of capital (WACC), which takes into account the required returns on both equity and debt.

Weighted average cost of capital (WACC) formula

WACC = Weight of Equity x Cost of Equity + Weight of Debt x Cost of Debt

Cost of equity

Value Buddy employs a build-up method to determine the business' cost of equity which is the specific risk associated with this enterprise based on the following formula:

$$Ke = CSRP + SP + Rf + ERP$$

Where:

Ke = Cost of equity

CSRP = Company-specific risk premium

SP = Size premium

Rf = Risk-free rate

ERP = Equity risk premium

DISCOUNT RATE

Company-specific risk premium (CSRP)

Given Pace Pool and Spa's risk classification of Secure, the CSRP used in the cost of equity build-up methodology is **+3.0**%.

Size premium (SP)

The size premium calculated by the Kroll Cost of Capital Navigator is **+7.8**% for decile 10b (small businesses).

Risk-free rate (Rf)

The Rf is based on the 10-year U.S. Treasury Bill (T-bill) which has an interest rate of **+4.2**% at the time of this valuation.

Equity risk premium (ERP)

The current U.S. ERP is calculated by Kroll as **+6.4**%.

Cost of equity (Ke) calculation

Factor	Contribution	Source
Plus: CSRP	3.0%	Lending Risk Summary
Plus: SP	7.8%	Kroll Cost of Capital Navigator (10b decile)
Plus: Rf	4.2%	CBOE Global Markets
Plus: ERP	6.4%	Kroll Cost of Capital Navigator (10b decile)
Cost of Equity (Ke)	**21.4%**	

DISCOUNT RATE

Cost of debt (Kd)

Cost of Debt (Kd) = Pre-Tax Cost of Debt (Kdpt) × (1 – Tax Rate(T))

Cost of debt (Kd) calculation

Factor	Contribution	Source
Plus: WSJ Prime Rate	7.5%	WSJ
Plus: SBA Spread	3.0%	SBA
Pre-Tax Cost of Debt	**10.5%**	**Calculation**
x 1 - Tax Rate	73.0%	KPMG Tax Survey
Cost of Debt (Kd)	**7.7%**	

Weighted average cost of capital (WACC) calculation

Factor	Value	Source
Weight of Equity	78.0%	Kroll Cost of Capital Navigator (10b decile)
x Cost of Equity	21.4%	See prior calculations
Equity Contribution	**16.7%**	**Calculation**
Weight of Debt	22.0%	Kroll Cost of Capital Navigator (10b decile)
x Cost of Debt	7.7%	See prior calculations
Debt Contribution	1.7%	Calculation
WACC (Kc)	**18.4%**	

ASSUMPTIONS

Short-term Cash Flow Growth (Years 1-5) - Computed based on the lender's SDE projections, the company's historical EBITDA growth rates, the net sales growth rates of comparable private companies, and the EPS growth rates of public companies in the same industry

- Pace Pool and Spa 3-year EBITDA CAGR: 2.3%
- Comparable private company net sales growth rate: 3.0%
- Comparable publicly traded company EPS growth rate: 2.6%

> Short-term cash flow growth rate used in DCF model: 3.0%

Long-term Cash Flow Growth (Years 6-10) - Computed based on the lender's SDE projections, the company's historical EBITDA growth rates, the net sales growth rates of comparable private companies, and the EPS growth rates of public companies in the same industry

- Pace Pool and Spa 3-year EBITDA CAGR: 2.3%
- Comparable private company net sales growth rate: 3.0%
- Comparable publicly traded company EPS growth rate: 2.6%

> Long-term cash flow growth rate used in model: 3.0%

Discount Rate - Computed using the WACC methodology

> Discount rate used in model: 18.4%

ASSUMPTIONS

Terminal Value

The terminal value is the value of a business beyond the forecasted period (i.e., more than 10 years from today). To calculate terminal value, an SDE exit multiple is applied to the final year's SDE to determine a theoretical selling price of the business after Year 10. This value is then discounted by the cost of capital to represent its present value. The SDE exit multiple used is based on the SDE multiples of comparable companies. This method is preferred to the perpetual growth method as it removes uncertainty related to cash flows in the distant future which can be hard to estimate for a small private business.

> SDE exit multiple used in model: 3.6x

Illiquidity Discount

A proxy for the cost of "buyer's remorse". If an investor or owner wanted to immediately sell their ownership in the company, there would be a loss due to illiquidity since the valuation target is not actively and publicly traded. Value Buddy uses the guidelines set by Professor Damodaran and the NACVA to determine an appropriate illiquidity discount.

> Illiquidity discount used in model: 10.00%

DCF Structure

The DCF model analyzes financial inputs to calculate FCF. The model is segmented into short-term (Years 1-5), long-term (Years 6-10), and a terminal exit value

Multiples

Estimated using purchase prices of comparable private companies.

MARKET APPROACH

Criteria

The market approach, also known as relative or comparative valuation, is a fundamental approach used in the valuation of companies and assets. It involves assessing the value of a subject company or asset by comparing it to similar entities or assets in the same industry or market. This method relies on the premise that the market values comparable assets or companies similarly based on their financial performance, characteristics, and market conditions.

Comparable Company Selection Methodology

In the valuation report, Value Buddy uses the BVR DealStats database to identify comparable companies by applying the following criteria:

1. **Industry:** Companies with similar business descriptions or NAICS codes to the target company are selected.
2. **Timeliness:** Preference is given to companies acquired within the past three years to reflect current market conditions post-COVID.
3. **Geography:** Only U.S.-based companies are considered, with preference given to those from the same state / region as the target company.
4. **Size/Profitability:** The selection favors companies with similar revenue and SDE ranges.

COMPARABLE SET

Comparable Company Statistics Valuation Multiples Summary

Company	Description	Valuation
Company 1	Pool Service Business	$3,750,000
Company 2	Pool Service	$2,200,000
Company 3	Pool Service	$2,200,000
Company 4	Pool Service Business	$2,150,000
Company 5	Sales, Installation, and Maintenance of Spas and Pools	$2,100,454
Company 6	Electrical Pool Contractor	$2,000,000
Company 7	Swimming Pool Restoration Service	$2,000,000
Company 8	Pool Service	$1,950,000
Company 9	Pool Service	$1,900,000
Company 10	Wholesale and Maintenance of Full Size Swimming Pools	$1,890,000
Company 11	Pool Service and Retail Pool Store	$1,794,409
Company 12	Pool Sales and Service	$1,794,409
Company 13	Pools, Spas, Chemicals, and other Accessories Wholesaler	$1,615,000
Company 14	Pool Maintenance and Servicing	$1,500,000
Company 15	Swimming Pool Maintenance Company	$1,450,000

COMPARABLE SET

Comparable Company Statistics Valuation Multiples Summary (cont.)

Company	Net Sales	Gross Profit	EBITDA	EBIT	SDE
Company 1	$3,417,144	$2,399,011	$1,214,093	$1,214,093	$1,214,093
Company 2	$2,949,814			$844,628	$844,628
Company 3	$2,572,818	$729,743	$572,713	$538,041	$572,713
Company 4	$2,944,940	$1,030,535		$585,670	$585,670
Company 5	$3,196,730	$1,062,707	$390,233	$390,233	$470,233
Company 6	$2,632,075	$976,707	$263,737	$185,282	$572,037
Company 7	$3,735,384	$1,772,495	$320,015	$229,817	$541,254
Company 8	$3,087,965	$1,761,365	$513,871	$493,325	$638,792
Company 9	$2,180,725	$1,107,641	$201,753	$192,253	$586,721
Company 10	$3,223,535	$1,392,139	$116,371	$108,771	$534,590
Company 11	$1,605,896	$1,013,721	$430,845	$430,845	$430,845
Company 12	$1,608,817	$1,021,089	$436,319	$436,319	
Company 13	$2,580,720	$1,356,924	$342,763	$332,648	$402,763
Company 14	$1,846,666	$1,605,408	$179,864	$179,864	$329,864
Company 15	$1,746,604	$1,261,167	$541,331	$541,331	$558,131

COMPARABLE SET

Comparable Company Statistics Valuation Multiples Summary (cont.)

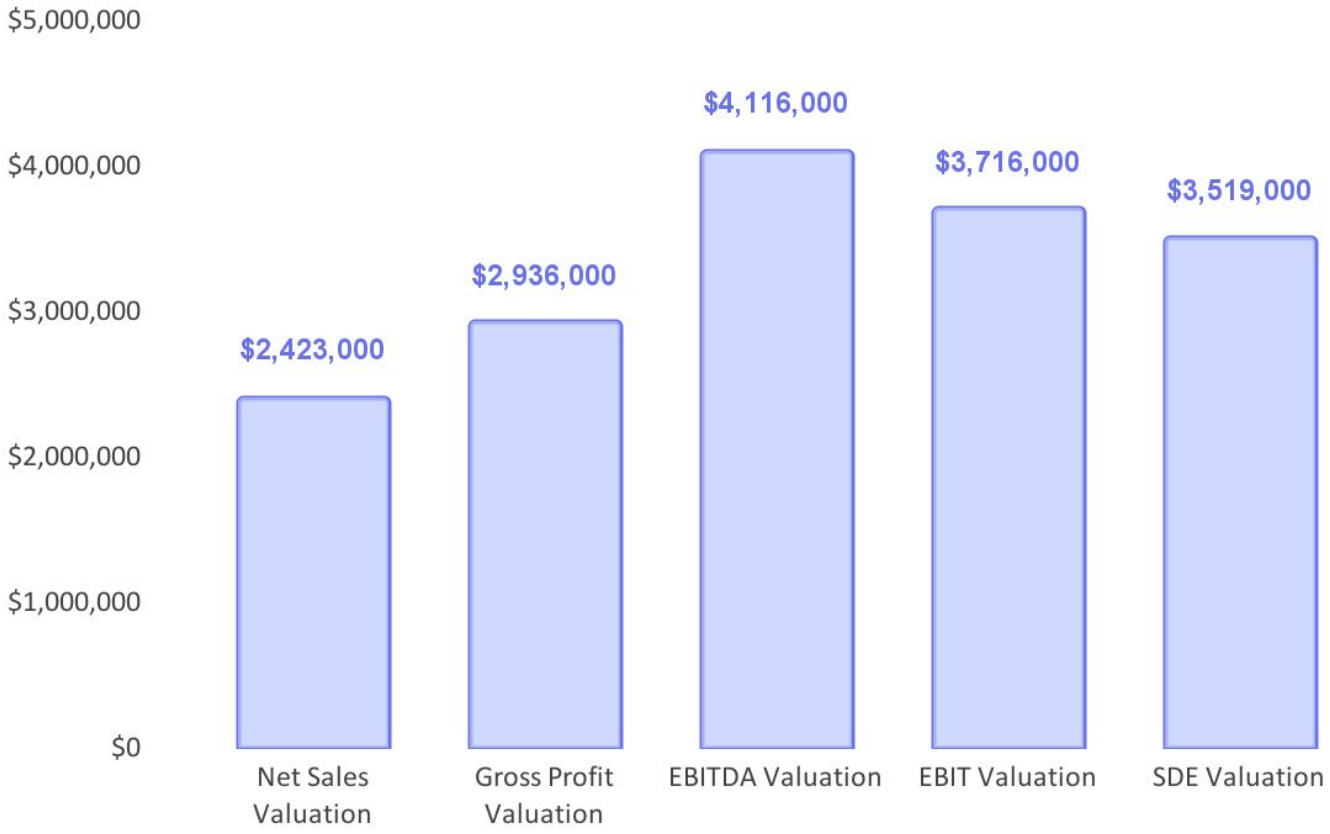
Company	Net Sales Multiple	Gross Profit Multiple	EBITDA Multiple	EBIT Multiple	SDE Multiple
Company 1	1.10	1.60	3.10	3.10	3.10
Company 2	0.80			2.60	2.60
Company 3	0.90	3.00	3.80	4.10	3.80
Company 4	0.70	2.10		3.70	3.70
Company 5	0.70	2.00	5.40	5.40	4.50
Company 6	0.80	2.10	7.60		3.50
Company 7	0.50	1.10	6.30	8.70	3.70
Company 8	0.60	1.10	3.80	4.00	3.10
Company 9	0.90	1.70	9.40	9.90	3.20
Company 10	0.60	1.40			3.50
Company 11	1.10	1.80	4.20	4.20	4.20
Company 12	1.10	1.80	4.10	4.10	
Company 13	0.60	1.20	4.70	4.90	4.00
Company 14	0.80	0.90	8.30	8.30	4.60
Company 15	0.80	1.20	2.70	2.70	2.60
Median	**0.80**	**1.65**	**4.45**	**4.10**	**3.60**

MARKET APPROACH

Financial Metrics & Multiples

Net Sales Multiple: 0.8	X	Net Sales: $3,028,775	+	Asset Adjustments: $0	=	Net Sales Valuation: $2,423,000
Gross Profit Multiple: 1.65	X	Gross Profit: $1,779,428	+	Asset Adjustments: $0	=	Gross Profit Valuation: $2,936,000
EBITDA Multiple: 4.45	X	EBITDA: $924,849	+	Asset Adjustments: $0	=	EBITDA Valuation: $4,116,000
EBIT Multiple: 4.1	X	EBIT: $906,354	+	Asset Adjustments: $0	=	EBIT Valuation: $3,716,000
SDE Multiple: 3.6	X	SDE: $977,597	+	Asset Adjustments: $0	=	SDE Valuation: $3,519,000

MARKET APPROACH



Rounded Overall Method Weights

0%	0%	0%	0%	50%

MARKET APPROACH

$3,519,000

Note: The overall methodology weights determine the conclusion of value, with proportional weights applied for market approach valuation. This reflects all assets of Pace Pool and Spa.

ASSET ADJUSTMENTS

Summary of excluded assets and impact on valuation

There are no excluded operating assets in this transaction.

Explanation of NWC impact on valuation

The Company has held excess cash on its balance sheet in each year. Therefore working capital requirements are estimated based on one month of total expenses in 2024, which equates to 6.3% of sales. This implies that this business should have approximately $190,682 in NWC to maintain business operations given its base year net sales of $3,028,774. However, this transaction only includes $100,000 in NWC, meaning that the buyer would likely need to inject $90,682 in NWC to resolve the deficiency and maintain normal operations. This value is considered a working capital deficiency and is deducted from the income approach valuation before arriving at the conclusion of value.

OTHER ADJUSTMENTS

Control premium of assets

The control premium represents an extra amount an investor is willing to pay above the fair market value for a majority interest in a company. For instance, if public stock is selling at $100 per share, but an investor offers $120 per share to purchase all shares, the control premium is 20%. It reflects the investor's willingness to gain control over the company's assets and management, potentially leading to higher cash flows.

In private firms, buying a minority interest is often more complex, as the owner/founder typically holds significant control. In such cases, the valuation expert may conclude that the current and projected cash flows already embody the control value.

Value Buddy evaluates several factors to decide whether to apply a control premium or a minority discount to the initial discounted cash flow results. These factors include the owner's cash flow management, non-operating assets, management quality, synergies, and growth opportunities.

For the Company, the active owners seem committed to maximizing growth despite market challenges. Therefore, we assume that the value already includes a control premium.

OTHER ADJUSTMENTS

Non-recurring events

As part of our valuation analysis process, we have scrutinized the company's income statement to assess the necessity of adjustments for non-recurring revenues or expenses during the valuation base year. No adjustments have been made for one-time revenues. No adjustments have been made for one-time expenses.

Rent adjustments

Value Buddy did not perform a real estate appraisal. Pace Pool and Spa Service Inc does not own the real estate that it rents. For the purposes of this report, we assume the company is paying fair market value for rent, however, it is important to note that Value Buddy did not perform a real estate or rental appraisal for this report.

Guaranteed payments to owners and discretionary spending

The owners of Pace Pool and Spa took total salaries ranging from $182,917 to $229,189 (incl. employer's share of FICA taxes). Fair market value must assume that the owner-operator is paid a market salary. Therefore, officer compensation in each year is adjusted to $52,749 (incl. employer's share of FICA taxes) based on pool technician salary in Pace, FL from Salary.com to account for Rodney Cobb's role. Dennis Cobb is stated to not be involved in the operations. No adjustments have been made for discretionary expenses.,

WEIGHTINGS

Weighting of historical financials

The Company has generated relatively stable sales and profits over the analyzed period with moderate growth projected in 2025. To capture the average performance and expected growth, 25% weight has been applied to each period 2022-2025.

Weighting of valuation methodologies

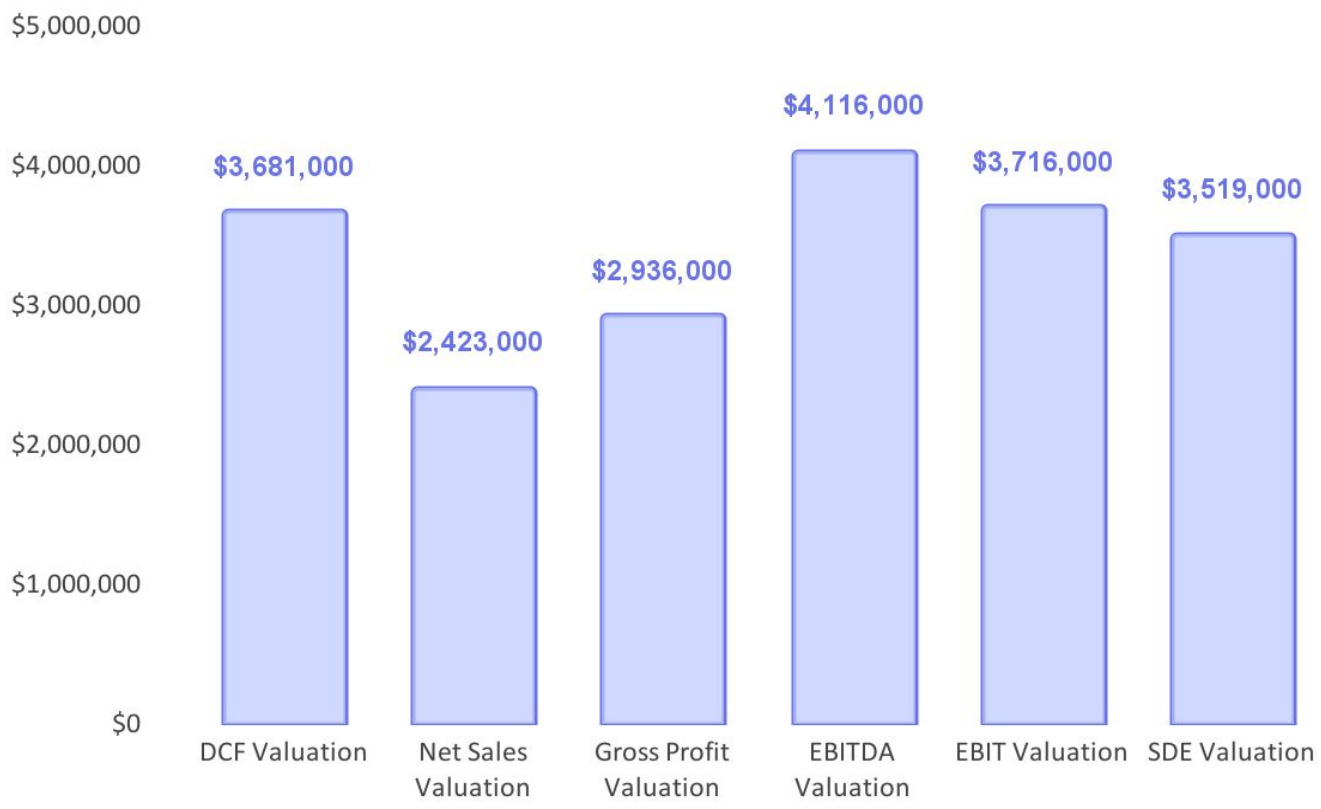
The DCF and SDE multiple valuation methodologies were equally weighted to give a holistic view of the Company's valuation. We view each methodology as being equally applicable given the DCF valuation considers company-specific valuation factors while the SDE multiple valuation is deeply rooted in data from transactions of comparable companies.

VALUATION SUMMARY

Conclusion

Conclusion of Value for All Assets of Pace Pool and Spa

$3,600,000



Rounded Overall Method Weights

50%	0%	0%	0%	0%	50%

RISK REVIEW

In this section we will summarize our risk review of the valuation including KPI benchmarking against comparable companies and analysis of qualitative risk factors to supplement the underwriter's due diligence.

KPI BENCHMARKING

TARGETS ACHIEVED	HEALTH SCORE
6/10	Moderate

KPI Category	Pace Pool and Spa	Benchmark
Growth		
Trailing Earnings Growth	2.3%	3.0%
Forward Earnings Growth	3.0%	3.0%
Efficiency		
Inventory Turnover	20.53	33.21
COGS / Sales	41.2%	48.4%
Rent / Sales	1.5%	1.1%
A / R Turnover	-	16.16
Margins		
Gross Profit Margin	58.8%	51.7%
EBITDA Margin	30.5%	13.3%
Operating Profit Margin	29.9%	13.3%
Net Profit Margin	29.9%	15.9%
SDE Margin	32.3%	21.2%

LENDING RISK SUMMARY



KEY LENDING RISKS

- Industry default risk
- Revenue fluctuations
- Competition

Summary for purchase of all assets of Pace Pool and Spa

Pace Pool and Spa presents a favorable lending risk profile for business acquisition financing. The SBA loan default analysis aligns with average charge-off rates, indicating a reasonable level of risk. The management team, while moderately experienced and actively involved in operations, appears capable with established support systems. Revenue stability demonstrates steady growth above industry and economic norms, maintaining a consistent upward trajectory. Financially, the company exhibits robust health, boasting strong liquidity and profitability metrics. In a competitive market, Pace Pool and Spa faces challenges from lack of differentiation and pricing pressures. Overall customer satisfaction is positive, though concerns exist regarding service availability. Supply chain vulnerability is minimal, necessitating contingency planning for industry-related risks. ESG analysis reveals lower environmental risk, but governance risks are notable due to the absence of a formal board, potentially affecting strategic direction and decision-making processes.

RISK ASSESSMENT

SBA loan default analysis

Risk factor	Loan volume	Charge-off rate
Industry (NAICS)	12,981	2.00%
State	45,627	1.63%
Zip code	1,132	1.44%
Loan size	36,930	0.66%
Change of ownership	38,591	0.51%
Pace Pool and Spa estimate	-	1.51%
National average	815,191	1.43%

Industry: NAICS (4-digit) 5617 Services to Buildings and Dwellings

Geography: Florida Zip code 325XX

Loan size: >$2,000,000

Based on our analysis of over 815,000 SBA 7a loans issued since 2010, Pace Pool and Spa may have a comparable to average likelihood to result in a charge-off if this acquisition is financed.

The SBA loan default risk analysis is designed to be viewed as a directional measurement of risk, not an absolute measure of the expected charge-off rate.

Source: Analysis of SBA 7a loan data

RISK ASSESSMENT

Supply chain vulnerability and tariff risk

Input	Vulnerability Score	China Exposure	Risk Score
Chemicals - Other	11.81	1.36	18.51
Machinery & Appliances	2.05	3.74	13.58
Textiles - Other	22.64	0.72	25.48

Pace Pool and Spa's low dependency on a single supplier for critical inputs indicates a lower risk of supply chain vulnerability. However, the moderate supply chain risk in the swimming pool services industry could still impact operations during peak seasons. It is important for Pace Pool and Spa to have contingency plans in place to mitigate any potential disruptions in the supply chain.

The risk score for Textiles - Other being high poses a significant risk to Pace Pool and Spa, as this input is likely used for pool liner replacements and safety cover installations. Any increase in tariffs on textiles could lead to higher costs for these materials, directly impacting the company's bottom line in the Service - Liners and Safety Covers segment, which accounts for a substantial portion of their annual revenue. This could potentially result in decreased profitability or the need to increase prices for these services, which may impact customer demand. It is crucial for Pace Pool and Spa to closely monitor any changes in tariffs related to textiles to mitigate this risk effectively.

Source: Analysis of Yale TBL and Kaplan data

RISK ASSESSMENT

Management team

The management team at Pace Pool and Spa is moderately experienced, with 5-10 years of industry-specific experience for most key team members. Their involvement is somewhat critical to the business operations, indicating some reliance on current management but with systems and processes in place to support operational continuity.

Source: Analysis of Onboarding Survey responses

Financial health

Pace Pool and Spa received a Moderate business health score from Value Buddy, achieving 6 out of 10 total targets. This score considers factors such as profit margins and growth rates. The business's current ratio of 154.04 indicates strong liquidity, well above the industry benchmark of 2.5. Additionally, the interest coverage ratio of 11262.81 reflects a very strong ability to cover interest expenses, far exceeding the threshold for a strong rating. Overall, Pace Pool and Spa demonstrates solid financial health with robust liquidity and profitability metrics.

Source: Analysis and benchmarking of company financials

Competition

Pace Pool and Spa operates in a highly competitive industry with the presence of established national franchises and seasonal demand dynamics. While the company faces competition from a few competitors, the lack of product/service differentiation compared to competitors may pose a risk to its market positioning. The strong position claimed by the company could be challenged by the competitive pricing and wide service offerings of larger franchises, necessitating a strategic approach to mitigate competitive risks.

Source: Analysis of Onboarding Survey responses

RISK ASSESSMENT

Customer satisfaction

The overall Google review rating for Pace Pool and Spa is 4.7. Recent customer reviews generally express satisfaction with the quality of service, professionalism, and helpfulness of the staff. However, there is one negative review mentioning a lack of availability for services, which could be a potential risk to customer satisfaction. Overall, Pace Pool and Spa seems to have positive feedback, but the issue of service availability should be addressed to maintain customer satisfaction.

Source: Analysis of recent Google reviews

Revenue stability

Based on the historical tax returns and annualized interim data of Pace Pool and Spa, the business demonstrated moderate revenue stability with year-over-year growth in 2 out of 3 years. The net sales compound annual growth rate (CAGR) of 7.29% outperformed comparable companies (3%) and the U.S. economy (1.8%). The Revenue Growth Consistency Index (RGCI) of 7.41% indicates a moderate level of consistency in revenue growth. While not exceptionally strong, the business's revenue stability suggests a relatively lower risk associated with financing a business acquisition.

Source: Analysis of company financials

RISK ASSESSMENT

ESG (environmental, social, governance)

Based on our analysis of carbon emissions data, the Services to Buildings and Dwellings industry demonstrates a lower environmental risk profile compared to the national average. The industry emits 0.006299208 kg of GHG CO2 per dollar of GDP generated, significantly lower than the U.S. all-industry average of 0.175694084 kg of GHG CO2 per dollar of GDP. This translates to 7209 kg of GHG CO2 emissions per firm in the Services to Buildings and Dwellings industry, notably lower than the national average of 376538 kg of GHG CO2 emissions per firm across all industries.

While these figures suggest a relatively lower environmental risk associated with financing the acquisition of a small business in the Services to Buildings and Dwellings industry, it is important to note that further analysis should be conducted in accordance with the SBA SOP. This may involve a more detailed third-party environmental report to comprehensively assess any potential risks.

The lack of a board of directors or formal advisors at Pace Pool and Spa poses a significant risk in terms of governance and decision-making processes. This absence may lead to potential conflicts of interest, limited oversight, and a lack of strategic guidance, impacting the overall stability and growth potential of the business.

Source: Analysis of Onboarding Survey responses & secondary industry data

APPENDIX

DISCOUNTED CASH FLOW

Projections

Year-by-year DCF contributions

Year	Free Cash Flow (FCF)	Present Value of FCF
1	$ 684,262.03	$ 577,991.87
2	$ 704,789.89	$ 502,872.91
3	$ 725,933.59	$ 437,516.81
4	$ 747,711.59	$ 380,654.75
5	$ 770,142.94	$ 331,182.80
6	$ 793,247.23	$ 288,140.48
7	$ 817,044.65	$ 250,692.18
8	$ 841,555.99	$ 218,110.87
9	$ 866,802.66	$ 189,763.99
10	$ 892,806.74	$ 165,101.24
Terminal Value	$ 4,591,954.16	$ 849,161.72

DISCLAIMER

Disclaimer

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The included risk assessment is designed to calculate the company-specific risk premium for valuation purposes. It should not be interpreted as a determination of the borrower's creditworthiness or the feasibility of the transaction.

This valuation primarily relies on historical financial data provided by the company’s representative, assumed to reflect normal business operations. Any inaccuracies in this data may impact the conclusions of the report.

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